

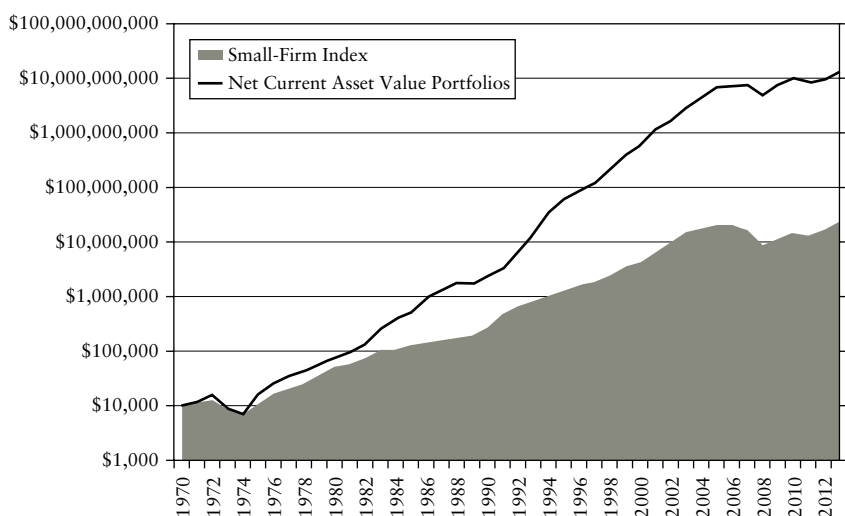


FIGURE 10.1 Returns to Graham Net Current Asset Value Rule and Comparable Small Firms Index (1970 to 2013)

the volume available in C. R. Anthony in May 1996, which was very little. Regardless, for individual investors managing personal accounts, the net net strategy remains, as Graham described it in 1976, “a foolproof method of systematic investment—once again, not on the basis of individual results but in terms of the expectable group outcome.” It also remains a favorite valuation method for activist investors. Classic Graham net nets, though small and infrequently available, meet many of the criteria activists seek in targets. Graham intended the rule as a rough proxy for liquidation value, so a strong case can be made that a stock trading at a wide discount to this value is deeply undervalued. As most of the intrinsic value assessed on this measure is by definition found in the current assets—which includes cash and the other assets most readily turned into cash: inventories and receivables—they are also stocks with liquid balance sheets and low payout ratios. These attributes, combined with a shareholder base that is likely unhappy with management, make net nets attractive targets for activists.

Stocks trading at a discount to liquidation value are, in Graham’s words, stocks that the market has determined are worth more dead than alive. The shareholders of net nets have therefore, implicitly or explicitly, expressed their extreme displeasure with the continued operation of the business. The most direct means by which an activist may remove the market price discount is through liquidation of the company, although this is typically a rare outcome, occurring in only about one-in-twenty net nets. A